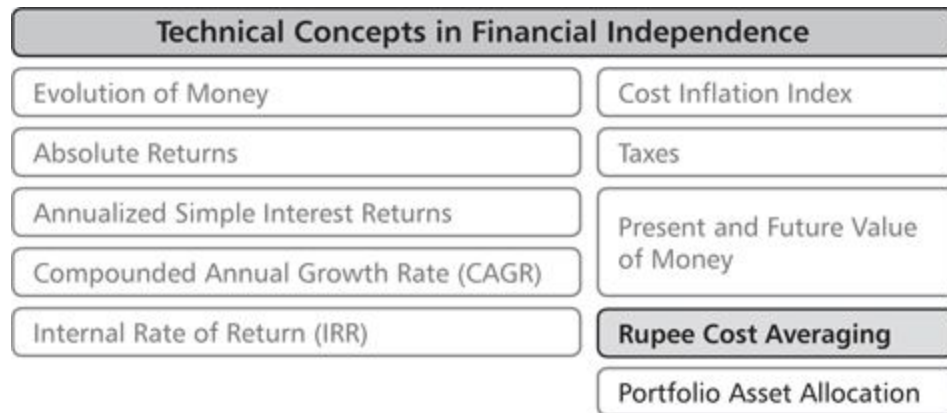




Rupee Cost Averaging

Investing in capital assets like equities (stocks or mutual funds) is a very common investment tool to stay ahead of inflation. Therefore, it would only be apt to know some technical concepts for such investments. When you are ready to invest your money in equity, you will want to use a common technique called "Rupee Cost Averaging".

With Rupee Cost Averaging, you are investing a portion of your money at regular intervals (may be monthly in case of Mutual Fund SIPs) or whenever you see market dips (in the case of direct stock investments). This averages out the price of whatever shares (or units) you are buying over time. This method of investment puts time, your money and the market on your side. When you do this, you will be bringing down the average cost per share as you keep investing. I used my own rule of thumb which has proven to be effective over time.

As and when the equity price has reduced by more than 15% of the current average purchase cost, I would invest more to bring the average cost further down. Now, remember, that this is good to follow when other indicators to buy the stock still favor a purchase of the said stock. All those 'other factors' that influence a 'buy' decision on a specific stock is beyond the scope of this book, but we are demonstrating the below example just so that you understand the concept and practical implementation of the Rupee cost averaging technique.

Below is a real life example of K S Oils (Figure 2.7) - one of my actual stock positions at various times along with the track of purchases I made to maximize the benefits of Rupee Cost Averaging.